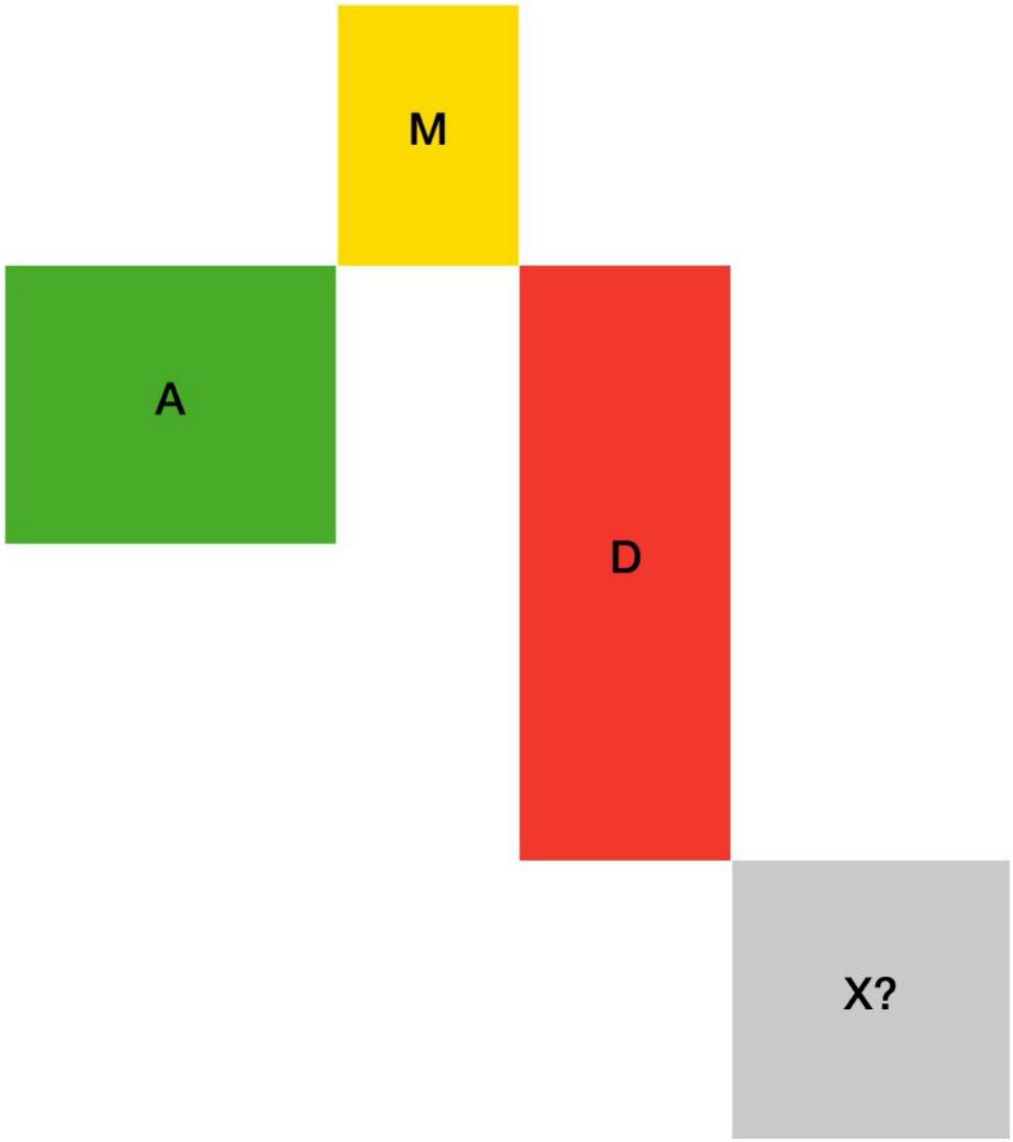
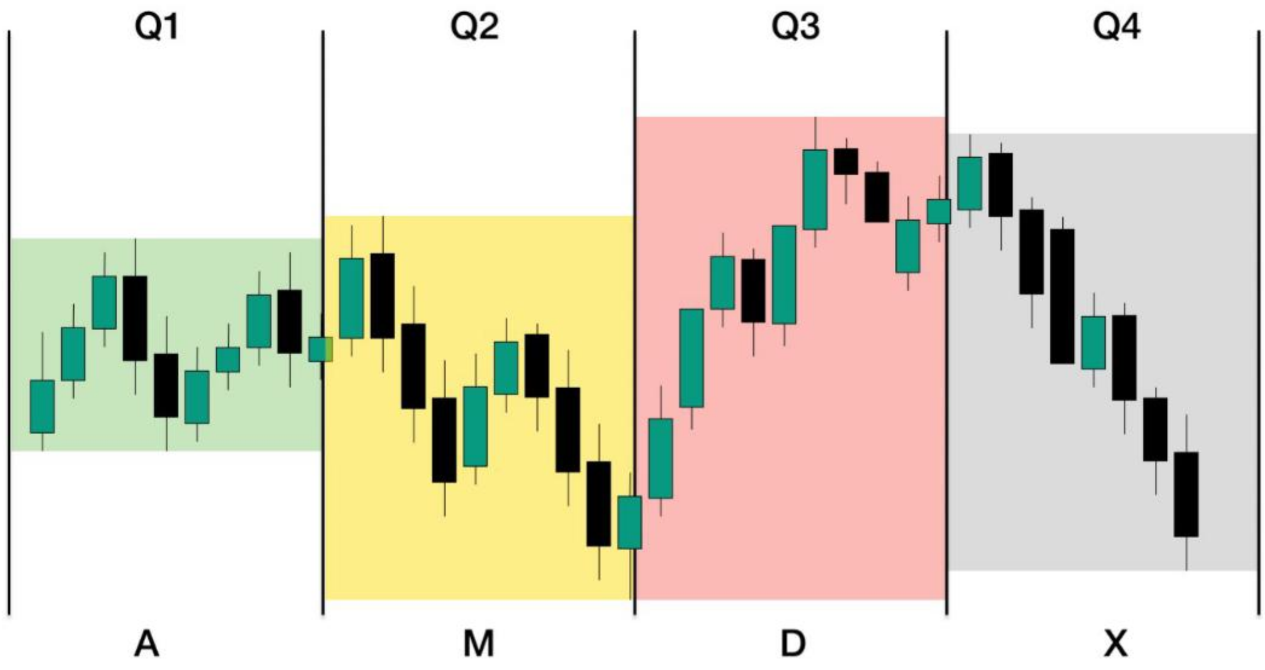
Quarterly Theory

Is what they hide from you



Introducing

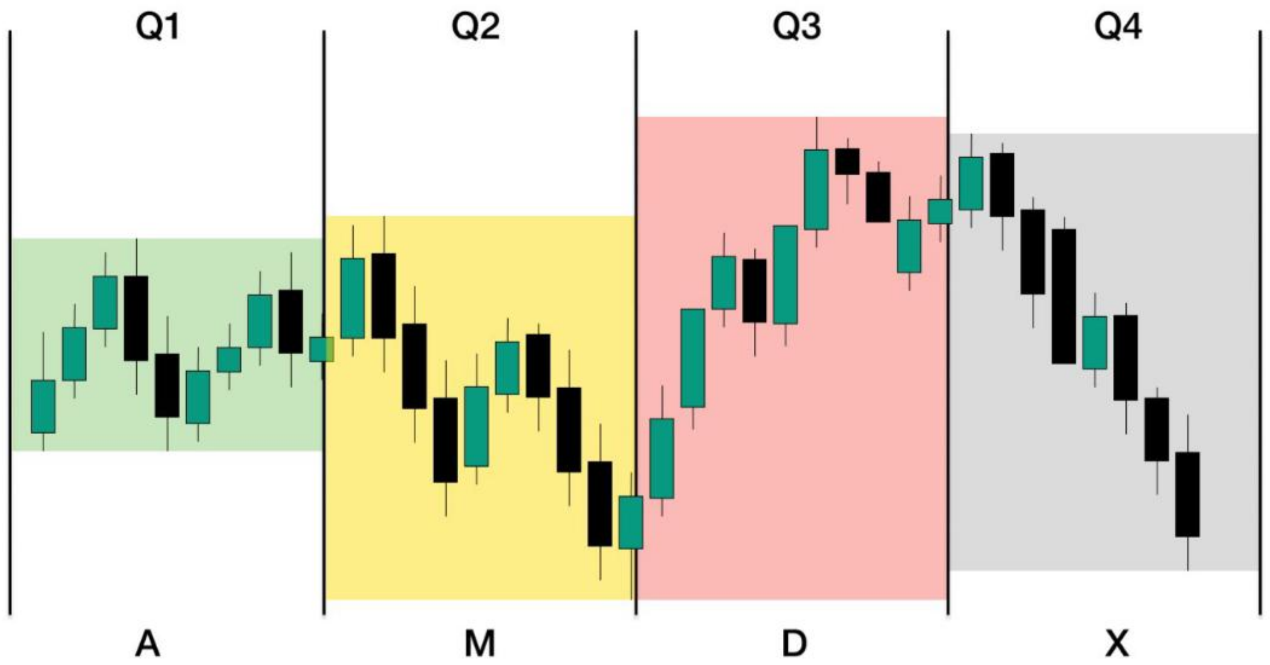


Have you ever noticed how price moves "perfectly" on a replayed chart, but in real-time, you're flooded with doubts?

This is where Quarterly Theory comes into play - the ultimate filter for ICT tools. With it, concepts like Silver Bullet, MMXM, Turtle Soup, and others will work at their full potential.

If you've studied ICT, you know that Michael Huddleston rarely discussed time in depth. He mentioned NY Midnight and Quarterly Shifts, which are incredibly powerful tools, but he never fully explained how they actually work. Quarterly Theory answers these questions. It's the perfect complement to SMC concepts, <u>unlocking a deeper understanding of the market.</u>

Cycles



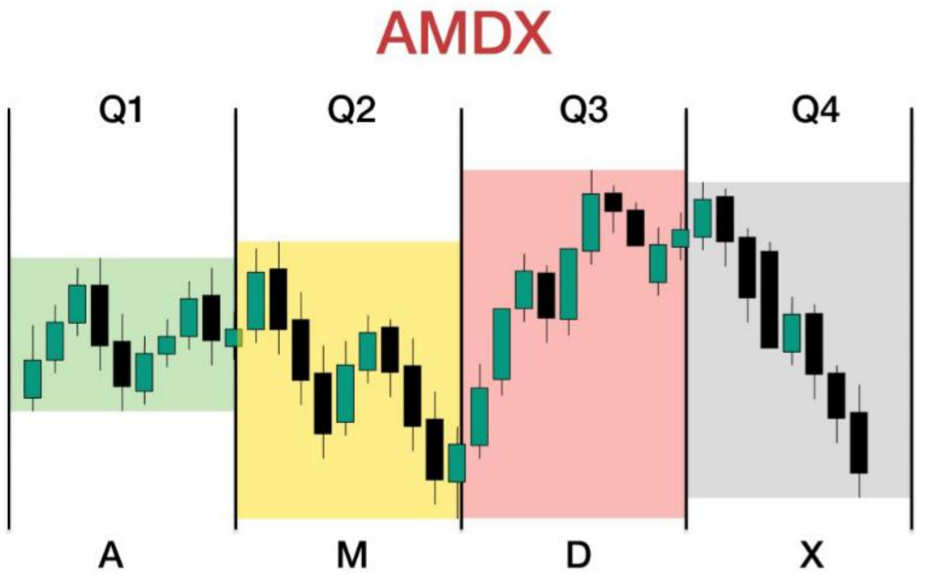
The first thing to understand is that any significant time period on a chart is referred to as a cycle. Cycles are divided into 4 quarters, and each quarter corresponds to a part of the AMDX model.

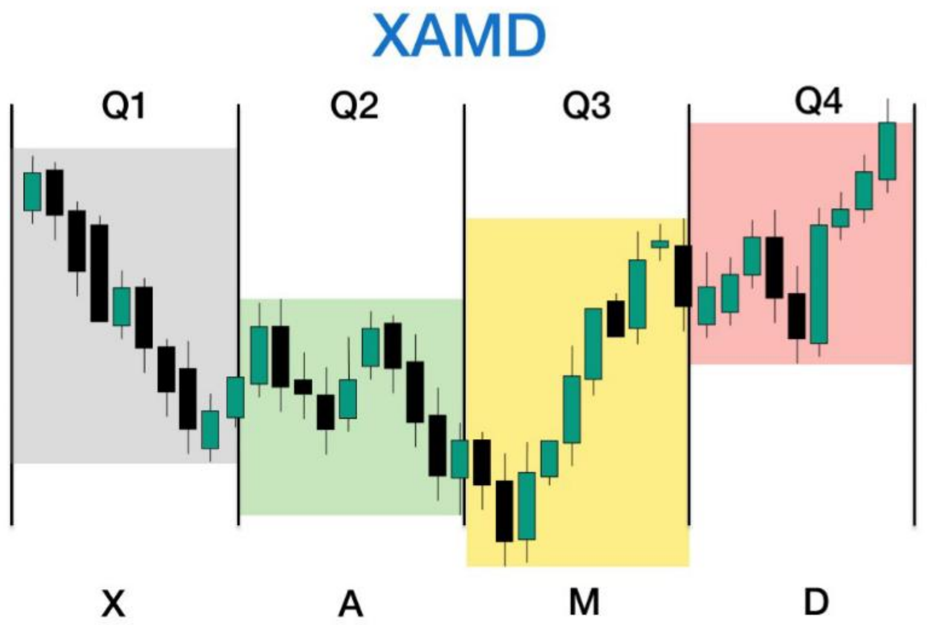
The key cycles to focus on are 1 month, 1 week, 1 day, and 1 session. Each of these cycles is broken down into quarters.

1. 1 month = 4 full weeks starting from the first complete week of the month.
2. 1 week = The first four days.
3. 1 day = 4 quarters of 6 hours each.
4. 6 hours = 4 quarters of 90 minutes each.

Cycles and quarters help us identify which phase of the AMDX model we are currently in.

Cycles Profiles





To understand how to work with cycles and their quarters, you need to first figure out which cycle and quarter are responsible for AMDX.

Most traders use the AMDX and XAMD models, though there are also models like XXMD, AAMD, and DMDX. However, we'll focus on the first two models.

As you know from ICT's lectures, AMD stands for:

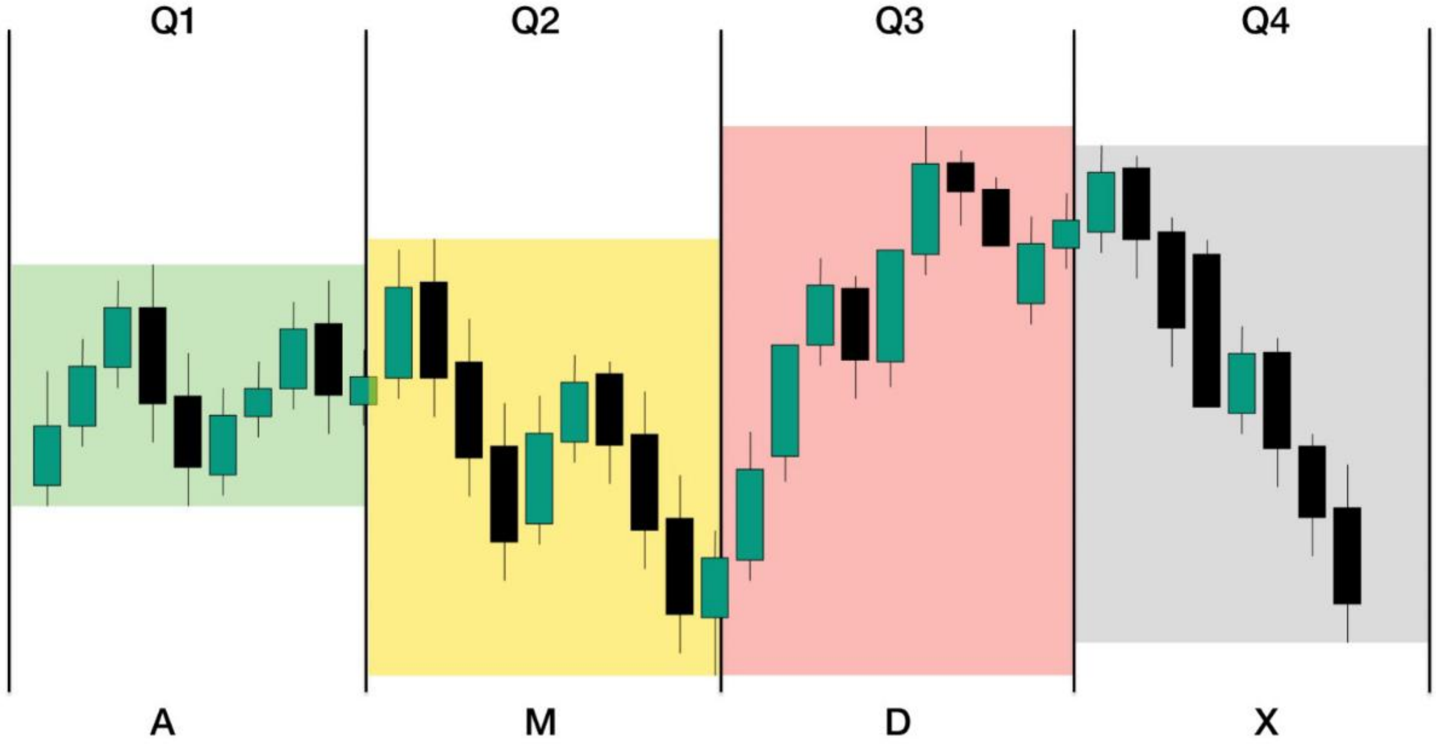
- A - Accumulation
- M - Manipulation
- D - Distribution
- X - Continuation/Reversal

The first thing you should focus on when using the Quarterly Theory is Q1, because this quarter often represents the accumulation phase, setting up for future manipulation and distribution.

To understand which phase you're in, you need to ask yourself whether Q1 is accumulation or expansion. Then, using the XAMD and AMDX templates, you can form your bias for the day, session, or week.

By combining this with the classic Power of 3, you can increase your accuracy and win rate.

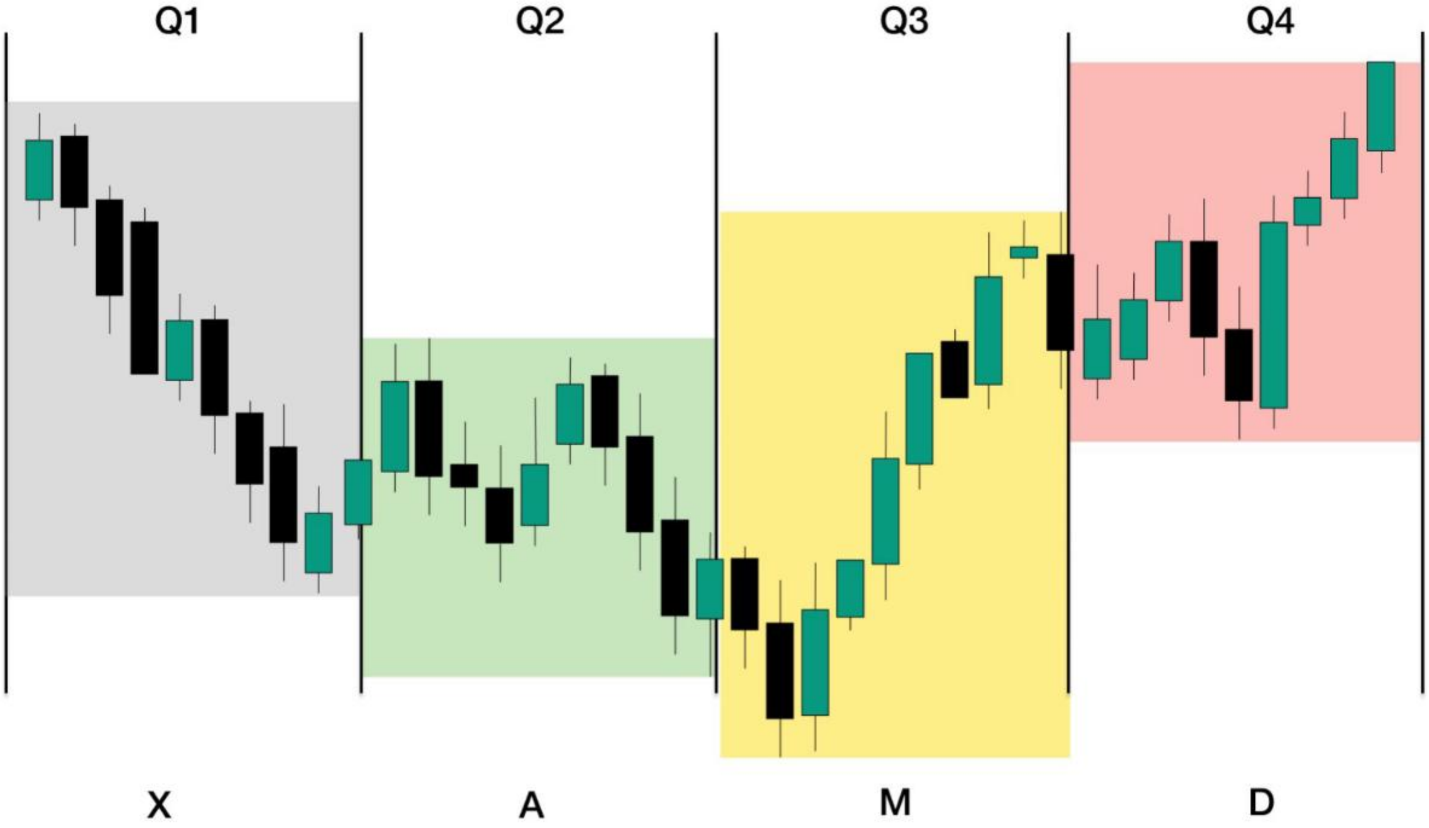
AMDX



Once we've identified that Q1 is accumulation and not expansion, we then expect manipulation in Q2, followed by confirmation of distribution in Q3. After that, depending on the context, we look for either continuation or reversal within Q4.

The best time to trade is during Q2 and Q3, after the True Open of each session, as these quarters are responsible for manipulation and distribution. Trading these phases is typically easier than trading Q1 and Q4, especially after the True Open of a given session.

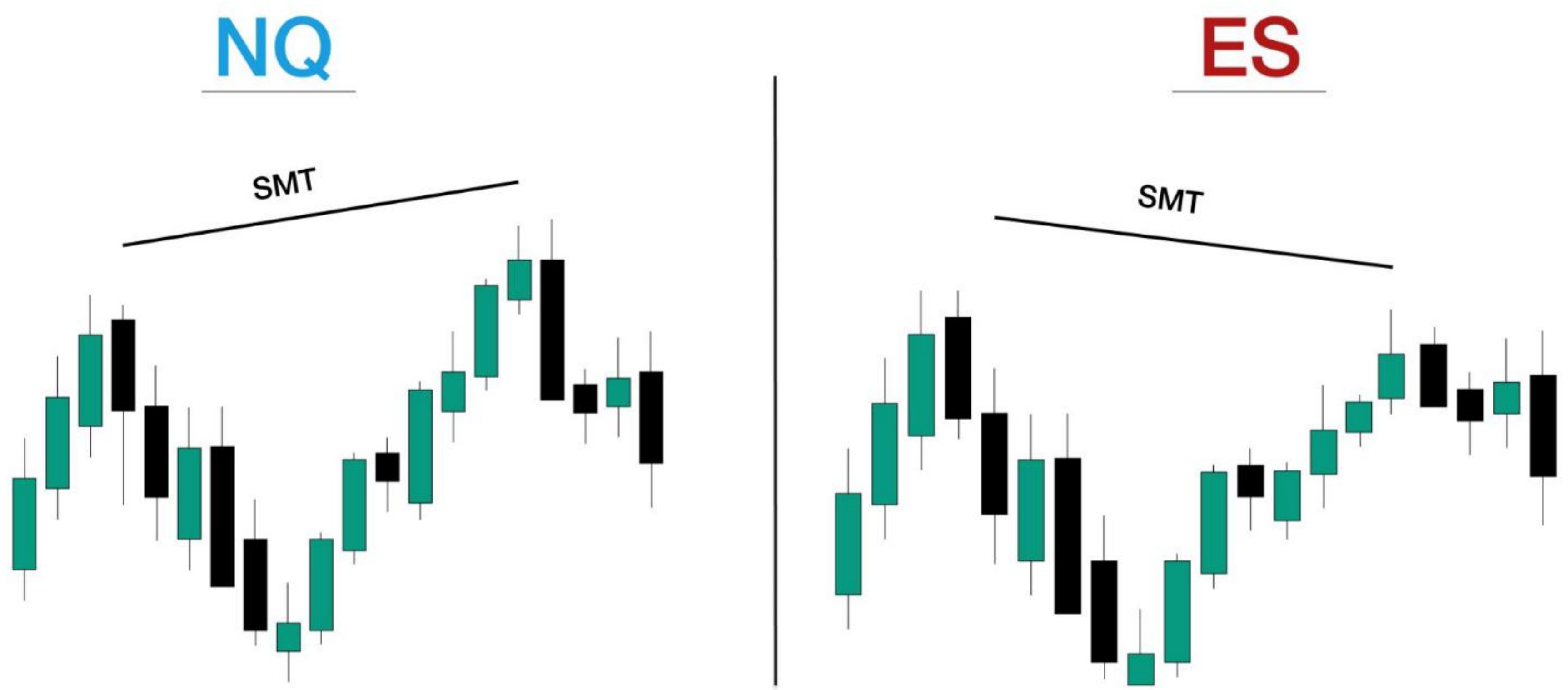
XAMD



When we determine that Q1 is expansion rather than accumulation, we then expect accumulation in Q2, followed by manipulation in Q3, and finally confirmation of the profile with distribution in Q4.

The best time to trade is during Q3 and Q4, after the True Open of each session, as these quarters are responsible for manipulation and distribution. Trading these phases is typically easier than trading Q1 and Q2, especially after the True Open of a given session.

SMT

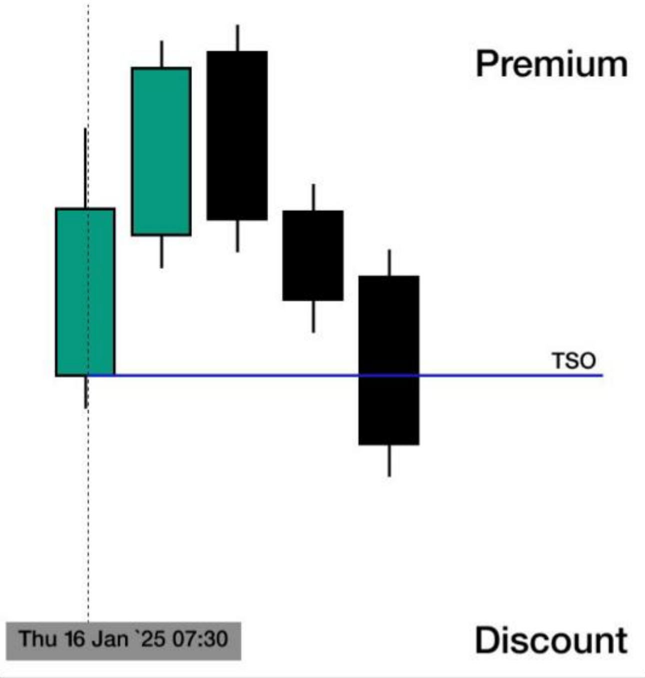


An important component of the Quarterly Theory is SMT (Smart Money Technique). All significant market reversals are always confirmed using this tool.
SMT refers to the crack in correlation of two or more correlated assets. For example, if one asset makes a new high while another does not, this can signal that the market is about to reverse.
For example:

- Forex Triad: EURUSD, GBPUSD, DXY (inverse)
- Indices Triad: Nasdaq, S&P 500, Dow Jones

If there is no SMT, avoid taking a trade.
Enter trades when SMT appears and exit trades based on SMT signals.
SMT helps confirm when accumulation or distribution phases will occur within the Market Maker Model (MMXM).

True Open



ICT often talks about the NYM or the True Daily Open, but something he hasn't mentioned is that every week and session has its own True Open.

Here's how it works:
The Asian Session isn't the best time to trade, so let's focus on the main sessions:

- London Session True Open: 1:30 AM
- New York Session True Open: 7:30 AM
- Afternoon Session True Open: 1:30 PM

The True Open is a simple tool to help you see where it's better to buy or sell. It's the start of the second quarter of a cycle.

For example, if you're a day trader focused on New York, and your BIAS says it's a good day to look for longs, you should wait until the price drops below the New York True Open (7:30 AM). After that, wait for your long setup to appear. The same idea works for the London Session and the Afternoon Session.

If you're a short-term trader, you can skip trading on Monday and focus on the True Weekly Open (TWO), which starts on Tuesday at 6:00 PM (EST). Wait for the price to move below the TWO, and look for manipulation setups later on Tuesday or Wednesday.

ICT also says the high or low of the week will most likely form on Tuesday or Wednesday, which makes these days the best time to find your setup.

Example

TWO
SMT With SP500
15
Sun 17 Nov '24 18:00
18
12:00
19
12:00
20
12:00
21
12:00